Investment Committee Memo - Abercrombie and Fitch Co. (ANF)

Decision

Watch/defer; do not initiate today. The September 9, 2026 market price of **$152.08** is below the base FCFF value of **$183.18 per diluted share**, but the valuation depends on revenue growth broadening beyond Hollister and on partial margin recovery. Those operating conditions are not yet sufficiently evidenced.

Valuation range and method judgment

The reconciled FCFF DCF range is **$151.79-$233.24/share**, spanning 10% WACC/2% terminal growth through 8% WACC/3% terminal growth. The base case uses 9% WACC and 2.5% terminal growth and produces $183.18/share.

This is a range, not a target price. Terminal value is 75.1% of enterprise value, which makes the conclusion sensitive to durable long-run cash generation. The market-implied reverse DCF requires a 6.62-percentage-point uniform reduction to the base revenue-growth path, holding margin, WACC, terminal growth, and bridge inputs constant.

The peer-method cross-check uses AEO and URBN under the predeclared policy. At the September 9 price, ANF trades at **8.64x FY2025 GAAP EV/EBIT** and **14.54x FY2025 GAAP P/E**, versus the two-peer mean of **11.36x** and **15.41x**. This supports the view that the price does not require the base DCF operating case, but it does not resolve the company-specific risk that ANF's growth is concentrated in Hollister. The DCF and peer outputs are not mechanically averaged.

Evidence and assumptions

Fiscal 2025 sales increased 6% to $5.266bn, but performance was uneven: Hollister sales grew 15% while Abercrombie sales declined 1%. GAAP operating margin fell to 13.3% from 15.0%, with management citing about $90m of adverse tariff impact plus unfavorable mix. See the FY2025 Form 10-K in `sources.md`.

The base forecast fades revenue growth from 5% to 3% and assumes gross margin improves from 61.0% to 62.0%. The bridge uses $284.576m of valuation-date excess cash, $0 interest-bearing debt, and 44.864m diluted shares. Lease liabilities are treated as operating consistently with the forecast's operating-expense treatment.

Risks and monitoring triggers

- **Initiation condition:** evidence that Abercrombie comparable sales stabilize or turn positive, Hollister remains positive, and margin pressure stabilizes-combined with a peer cross-check that does not contradict the FCFF range.

- **Downside condition:** Hollister growth slows materially while Abercrombie remains negative, or tariffs/product and channel mix prevent the assumed margin recovery.

- **Model condition:** reassess if the share basis, excess-cash policy, lease treatment, or valuation date changes.

Committee ask

Approve a **watch/defer** status. Revisit after the next reported brand-level sales and margin evidence; do not initiate solely because the DCF and peer cross-check indicate apparent value.